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November 26, 2002

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Professor Edward Chang
Morpho Software, Inc.
816 Dorado Drive
Santa Barbara, CA 93111

Re: U.S. Patent Application For:
DYNAMIC PARTIAL FUNCTION IN MEASUREMENT OF SIMILARITY OF OBJECTS
By: Edward Y. CHANG, et al.
Our reference: 50995-20003.00

Dear Ed:

Enclosed is a copy of a Notice To File Missing Parts of Application dated October 28, 2002 received from the U.S. Patent and Trademark Office (PTO) for the above-referenced application. A response is due on December 28, 2002. After that date, up to five one-month extensions are available for a progressively increasing fee.

Enclosed for signature are the Declaration, Assignment, Power of Attorney by Assignee, 3.73(b) Certificate, and Verified Statement Claiming Small Entity Status. Please review the documents carefully and, if all is in order, please have them signed in blue ink and returned to us. The signature on the Assignment should be notarized, if at all possible. The order in which these documents are signed is important. The Declaration must be signed before the Assignment. *Please note that the inventors should sign the Declaration and Assignment on the same day and return them to us at the same time.* Any signed documents signed on behalf of the company must be executed after the Assignment is executed by the inventors.

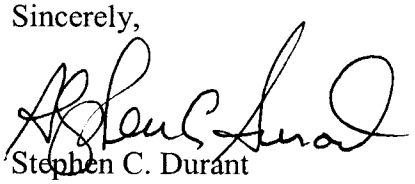
A so-called "small entity", *e.g.*, an individual inventor, small business concern, or non-profit organization pays reduced U.S. Patent and Trademark Office Fees. Small entity status can be established only if each individual, concern, or organization having rights in the invention (including assignees and licensees) qualifies as a small entity. A small business concern is one where the number of employees, including those of its affiliates, does not exceed 500 persons. Please review the enclosed form carefully, and, if appropriate, an officer of Morpho Software, Inc., such as a President, Vice President, Secretary, Treasurer, or Chairman should sign the form. Please return the form to us. A caution: if small entity status is claimed but there is a subsequent change resulting in

loss of entitlement to small entity status, we must notify the U.S. Patent and Trademark Office and pay the issue fee and/or any maintenance fees due as a large entity. Therefore, please let us know of future changes in status (*e.g.*, due to growth of the company, or license of rights to the application to a large entity).

The American Inventors Protection Act of 1999 makes available to patent applicants extensions of the patent term where the USPTO causes delays during examination. The USPTO defines the types of delays giving rise to such extensions of time. However, any potential term extensions caused by USPTO delay are offset or reduced by any delays caused by an applicants' "failure to engage in reasonable efforts to conclude prosecution." It is preferable to promptly respond to the Notice of Missing Parts.

If you have any questions or comments, please call us.

Sincerely,



Stephen C. Durant

Enclosures